ROYAL LONDON GLOBAL HIGH YIELD BOND FUND

31.05.23

FUND OVERVIEW

Fund Manager(s)	Azhar Hussain, Stephen Tapley
Fund Size	£2,546.31m
Fund Type	ICVC
Domicile	Ireland
ISA	Eligible
Duration to worst	4.5 years
Benchmark Duration	3.9 years
Benchmark Index	ICE BofA BB-B Global Non-Financial High Yield Constrained Hedge GBP
Investment Association Sector	IA Sterling High Yield
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Inc: 0.83% Z Inc: 0.58%

Share Class M (Income)

Unit Launch Date	12.03.13
Minimum Investment	£100,000
SEDOL	B8GCTN1
Mid Price	£0.78
Distribution Yield	4.96%

Share Class Z (Income)

Unit Launch Date	15.02.13
Minimum Investment	£1,000,000
SEDOL	B8K3800
Mid Price	£0.79
Distribution Yield	5.21%

Overview

The investment objective of the Fund is to provide a combination of investment growth and income, the Fund will seek to achieve its objective on an active basis. The Fund seeks to achieve its investment objective by outperforming its benchmark, theBofA Merrill Lynch BB-B Global Non-Financial High Yield Constrained Index (the “Benchmark”) by 1% per annum over rolling three year periods. The Benchmark is being used by the Fund for performance comparison purposes only and the Fund does not intend to track the Benchmark.

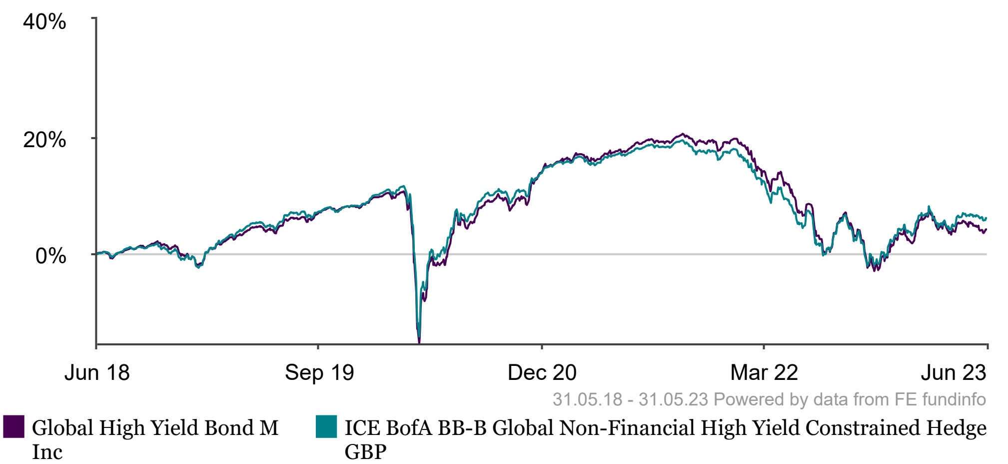
Year-on-year performance

	31.03.22 to 31.03.23	31.03.21 to 31.03.22	31.03.20 to 31.03.21	31.03.19 to 31.03.20	31.03.18 to 31.03.19
Share Class M (Income)	-7.7%	-2.2%	24.6%	-9.8%	3.5%
Share Class Z (Income)	-7.5%	-2.0%	25.0%	-9.6%	3.8%

Cumulative Performance (as at 31.05.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M (Income)	-0.5%	1.6%	-4.0%	0.9%	4.2%
Share Class Z (Income)	-0.4%	1.8%	-3.7%	1.7%	5.7%
ICE BofA BB-B Global Non-Financial High Yield Constrained Hedge GBP	0.8%	2.5%	-1.1%	1.7%	6.1%

Performance Chart



Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 31.05.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

Distribution History (Net)

	28/02/2023	31/08/2022
Share Class M (Income)	2.1333p	2.1597p
Share Class Z (Income)	2.2718p	2.2841p

Table above shows figures as at payment date.

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Fund Manager(s)

Azhar Hussain
Co-manager
Fund Manager tenure:
15.02.13

Stephen Tapley
Co-manager
Fund Manager tenure:
15.02.13

Yield Definitions

The distribution yield reflects the amounts that may be expected to be distributed over the next 12 months. The underlying yield reflects the annualised income net of expenses of the Fund as a percentage (calculated in accordance with the relevant accounting standards). Both these yields are calculated as a percentage of the mid-price of the Fund as at the date shown and are month end snap shots of the portfolio on that day and do not include any preliminary charges. Investors may be subject to tax on distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Unrated Bonds

Unrated bonds are not rated by a credit rating agency. RLAM ascribes internal ratings for these bonds which will vary for each asset.

Important Information

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Asset Management Funds plc, an open-ended investment company with variable capital (ICVC), with segregated liability between sub-funds. Incorporated with limited liability under the laws of Ireland and authorised by the Central Bank of Ireland as a UCITS Fund. It is a recognised scheme under the Financial Services and Markets Act 2000. The Management Company is FundRock Management Company SA, Registered office: 33 rue de Gasperich, L – 5826 Hesperange, Luxembourg and is authorised and regulated by the Commission de Surveillance du Secteur Financier (CSSF). The Investment Manager is Royal London Asset Management Limited. For more information on the Fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on www.rlam.com. Most of the protections provided by the UK regulatory system, and the compensation under the Financial Services Compensation Scheme, will not be available.

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Please note that the impact of Futures is not considered as part of the overall fund Duration calculation; Fund level Duration is based on long only physical assets (incl cash).

Source: RLAM, FE fundinfo and HSBC as at 31.05.23, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0090

Breakdowns exclude cash and FX hedging.

More information on the sustainability factors for this fund can be found on our website at https://www.rlam.com/intermediaries/policies-and-regulatory/

Fund Commentary

The fund (Z class) returned 0.44%, net of fees, in April, which was marginally behind the benchmark, the ICE BofA Merrill Lynch BB-B Global Non-Financial High Yield Constrained Index (100% GBP hedged), return of 0.53%. Against the fund's objective, outperforming its benchmark by 1% per annum over rolling thee-year periods, it is slightly behind the benchmark, gross of fees (3.15% versus 2.23%). Global high yield spreads (BB-B index) were slightly wider on the month at 435bps (+6bps), while the government yield curve decreased by 5bps, leading to a positive monthly return of 0.53%. The high yield market is now yielding 7.40%, FX-adjusted, (yield-to-worst*) with duration of 3.93 years. Index price returns were 0.1% while income returns were 0.5%. The fund yield, FX-adjusted, stood at 8.57% (YTW) at the end of the month with a duration of 4.47 years.
Following the slowdown in new issuance in March, things started to pick up in April. Total issuance in the month of April was $19.1bn in developed markets. Within the new issuance, April marked the first month in almost a year that there was significant new issuance by CCC rated companies with $4.7bn of issuance. The US high yield default rate continued to move higher in April but remains low at 2.1%. During the GFC the default rate was seen over 20% and it was over 7% during the pandemic. We do expect the default rate to keep rising further in 2023 as the global economy slows and the US slips into a recession.
In the fund, our underweight position in Energy was a positive contributor to performance, as was our overweighting in Services. Our Leisure holding was also a strong contributor but was only slightly ahead of the benchmark. Offsetting these positive contributors was our Media, Real Estate and Telecommunications holdings, resulting in the flat performance versus the benchmark. By rating, both our BB and B rated bonds were slight detractors to contribution versus the benchmark despite a strong positive total return. While only making up a small portion of the benchmark, our BBB & Above holdings were a significant positive contributor while CCC & Below bonds were flat. Geographically, our underweighting in the US was a positive as was our overweight position in the UK. In Europe, our flat return was behind the benchmark while our underweight R.O.W position underperformed.
For the market as a whole, the regions produced mixed returns, with the US, UK and Europe producing comparable returns with the R.O.W lagging on a relative basis. With respect to ratings, B rated credit outperformed BB rated. While not included in our benchmark, CCC & Below bonds posted a strong performance in the month. Retail, utility and healthcare were the best performing sectors, while real estate and media were the worst.

*Yield-to-worst refers to the redemption date that produces the lowest return.
This is not a recommendation or solicitation to buy or sell any particular security. The views and opinions expressed herein are those of the manager at the time and are subject to change without notice.

Sector Breakdown

	Fund	Index
Basic Industries	8.5%	9.3%
Capital Goods	7.1%	6.2%
Consumer Goods	3.0%	3.9%
Energy	8.4%	14.2%
Health Care	8.3%	7.5%
Leisure	7.1%	7.4%
Media	16.2%	6.7%
Retail	4.2%	5.4%
Services	12.0%	6.0%
Technology	6.4%	4.6%
Telecommunications	8.9%	8.7%
Transport	6.0%	3.7%
Other	3.9%	16.5%

The global funds sector classifications are based on ICE BofA sector level 3 classifications.

Credit Breakdown

Name	Fund	Index
AAA - A	5.7%	0.0%
B	55.9%	39.4%
BB	31.3%	60.6%
BBB	3.7%	0.0%
CCC	3.0%	0.0%
Unrated	0.6%	0.0%

Maturity Profile

	Fund	Index
0 - 5 years	56.7%	55.8%
5 - 10 years	34.8%	40.0%
10 - 15 years	0.0%	1.4%
15+ years	8.5%	2.8%

Maturity classifications reflect issue maturity date, not market interpretation of redemptions.
Totals may not equal 100% due to rounding.

Top 10 Holdings as at 30.04.23

	Fund
Live Nation Entertainment Inc 4.75% 15/10/2027	1.5%
Transdigm Inc 5.5% 15/11/2027	1.3%
Apx Group Inc 6.75% 15/02/2027	1.2%
Stonegate Pub Co Financing 2019 8.25% 31/07/2025	1.2%
Novelis Corp 4.75% 30/01/2030	1.1%
Morton Scih Salt Holdings Inc 4.875% 01/05/2028	1.0%
Teva Pharmaceuticals Ne 3.15% 01/10/2026	1.0%
Telenet Finance Luxembourg 5.5% 01/03/2028	1.0%
Amc Networks Inc 4.75% 01/08/2025	1.0%
Carnival Corp 7.625% 01/03/2026	1.0%
Total	**11.3%**
No of Holdings	**253**

Every effort is made to ensure the accuracy of any information provided but no assurances or warranties are given. Nothing in this factsheet should be construed as advice and is therefore not a recommendation to buy or sell shares.

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Key Concepts to Understand

Bonds: Securities that represent an obligation to repay a debt, with interest. Investment grade bonds are high quality bonds that are viewed as being highly likely to make all scheduled payments of interest and principal. Low quality bonds carry higher risk but also typically pay higher rates of interest.
Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.
Efficient Portfolio Management: An investment technique that allows the use of derivatives for at least one of the following purposes: to increase the value of the Fund; to protect the value of the Fund or to reduce the risks of certain investments.
Currency Hedged Share Classes: Currency Hedged Share Classes aim to provide investors with a return highly correlated to the return of the base currency share class by minimising the impact of exchange rate fluctuations between the base currency of the Fund and the investor's chosen currency. Derivatives are typically used to hedge the relevant share classes

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.
Credit Risk: Should the issuer of a fixed income security become unable to make income or capital payments, or their rating is downgraded, the value of that investment will fall. Fixed income securities that have a lower credit rating can pay a higher level of income and have an increased risk of default.
EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.
Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.
Interest Rate Risk: Fixed interest securities are particularly affected by trends in interest rates and inflation. If interest rates go up, the value of capital may fall, and vice versa. Inflation will also decrease the real value of capital.
Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.
Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.
Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.